

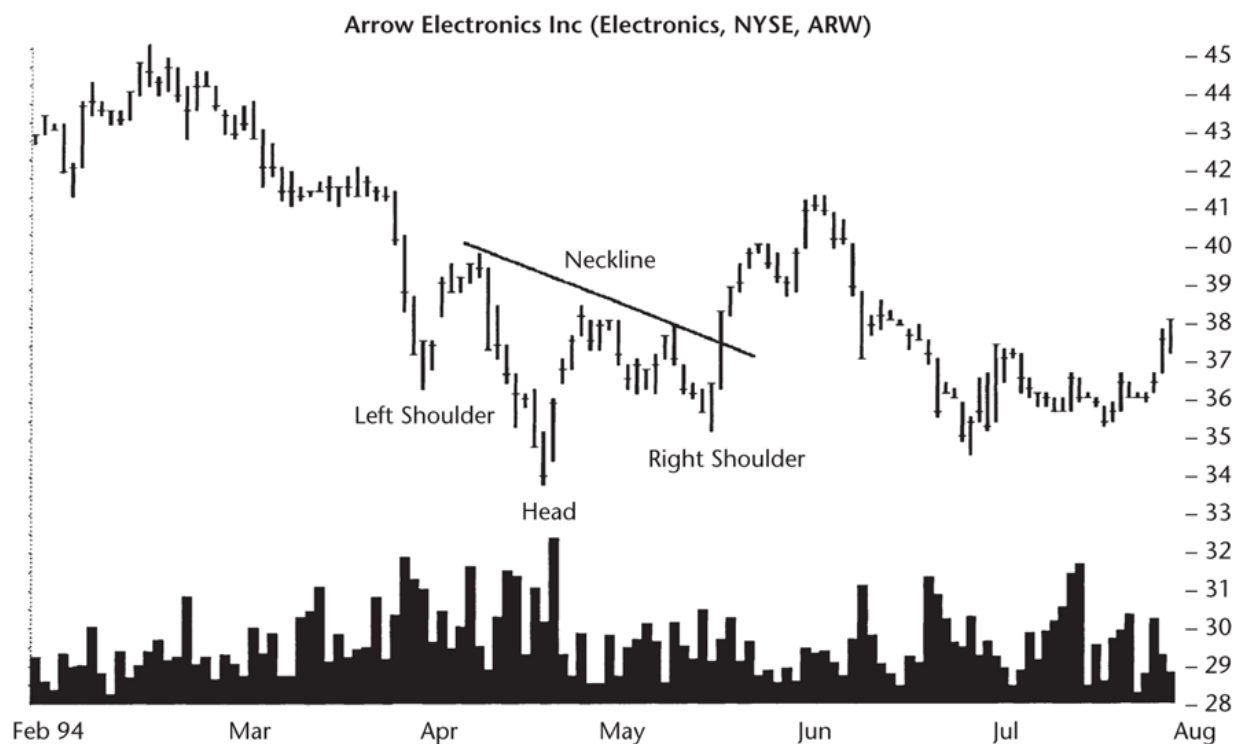


Figure 39.1 A head-and-shoulders bottom. Two shoulder troughs surround a lower head.

This head-and-shoulders bottom has a typical volume pattern. Volume is usually highest on the head, then the left shoulder, and even lower on the right shoulder. This head-and-shoulders pattern shows little increase in volume during the rise from the head to the right shoulder. Volume on the breakout is unexciting and that helps explain why the stock stalls. Upward momentum fails to carry price much higher; the stock rounds over and heads back down through June.

Figure 39.2 shows a head-and-shoulders pattern on a weekly scale. I chose this chart to show you the typical trend of head-and-shoulders bottom reversal. It usually forms after an extended price downtrend. As a reversal, once the chart pattern completes, price rises.

Why do head-and-shoulders form? The chart pattern represents a struggle to find the bottom, the lowest price that represents the best value. As the stock descends during the winter of 1993, investors nibble at the stock in increasing numbers. Volume climbs even as the stock descends until it spikes upward for 1 week during formation of the left shoulder.